Colina (Lake Las Vegas)
PRESIDENT'S LETTER
August 07, 2024

The Las Vegas Division requests approval to purchase Colina ("COL"), consisting of 292 lots in the Lake Las Vegas Master Plan Community ("MPC") in Henderson, Nevada. The Division will offer three communities: Colina Point ("CP") with the core Townhome ("TH") product; Colina Ridge ("CR") with the 30' SFD product; and Colina Estates ("CE") with the 40' SFD product.

The purchase is for 60.64 total gross acres between two sellers, one for 57.53 acres at $26.6M and one for 3.11 acres for $1.4M, for a total purchase price of $28M, land development budget of $22.7M and a projected closing in December 2024. The Division intends to land bank COL; however, the proforma does not account for this.

The COL acquisition is important to the Division's strategy for the following reasons:

- Establishes three communities in a target submarket, leveraging core product, located within a desirable MPC.
- Represents a manageable two-year lot supply, while achieving 20.0% NC and 20.1% MIRR.

While COL is the most capital-intensive acquisition of the Division's targets, it does not have the longest duration in recent history and is balanced with smaller deals that are less capital intensive and have shorter durations.

Based on the LAR Risk Definitions, COL is characterized between Normal and High Risk:

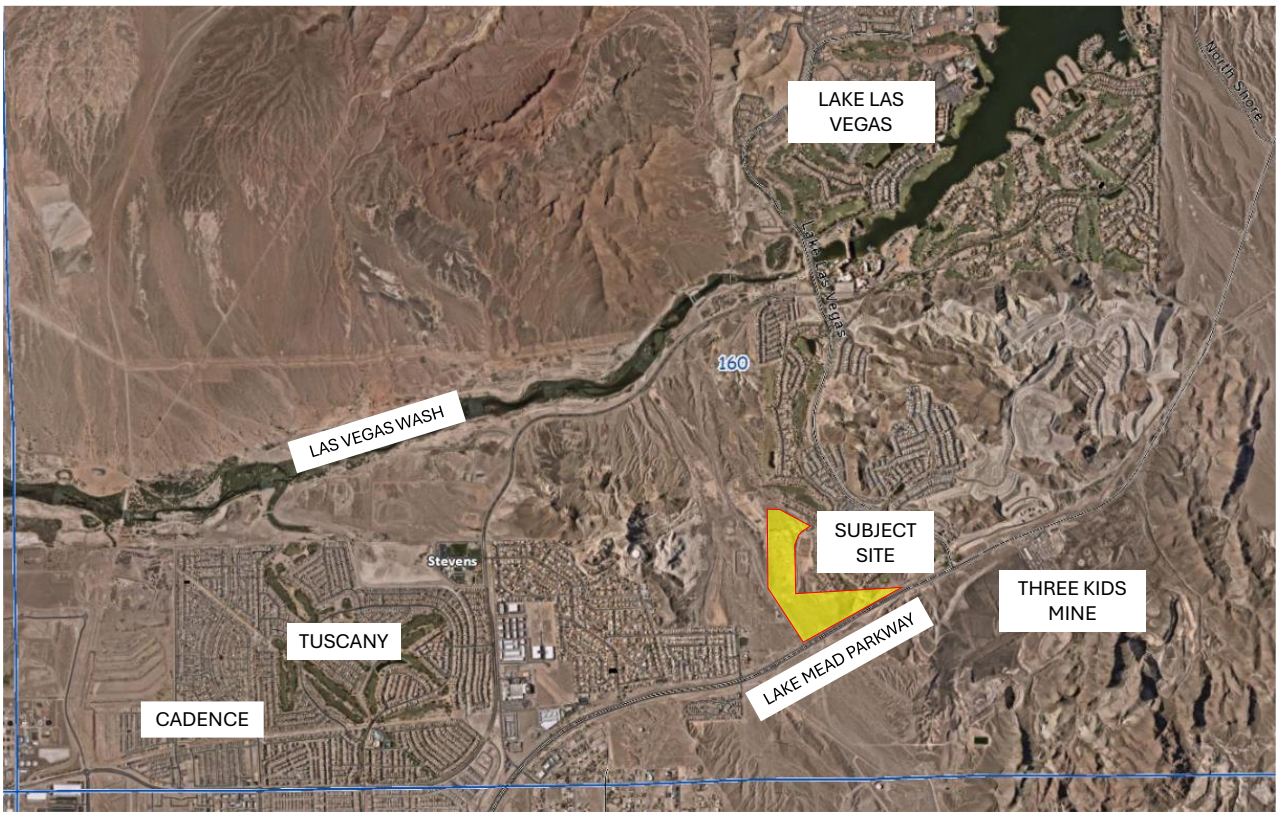
- Total land acquisition and development > $22 million (High)
- Duration less than 5 years from acquisition date (Normal)
- Existing submarket, existing product, and currently targeted buyer profile (Normal)

COL satisfies six of the 10 LAR requirements if not land banked:

- Activation within 18 months of LAR Approval
- Low affordability risk per TOP
- Existing submarket
- Existing product
- Lots/product line ≤ 1
- Land development spend ≤ $10 million total

Overall Summary of Project

Location
COL is located in the Henderson submarket off of Lake Mead Pkwy., east of the Cadence MPC, within the Clark County limits.



History
The Lake Las Vegas MPC ("LLV") initially opened for sale in the late 1990s and halted during the 2008 recession. In the 2010s, the MPC resumed development and is still being built out. LLV consistently attracts buyers with its focal point, the 320-acre freshwater lake which is surrounded by the Westin Resort and Spa and Hilton Resort and Spa, restaurants, and trails. Additionally, the resort feel of the community with a golf course, community parks, sport courts, and pools, and several public, private and charter schools are attractive to prospective buyers. The MPC is over 3,600 acres and will contain 13k residences when fully built out. Currently, there are 6 builders operating a total of 12 communities in the MPC.

Surrounding Land Use
- North – Existing residential community
- West – Public and semi-public
- South – Future residential master-planned community
- East – Existing residential community

Site Plan

The current site layout has 292 total lots comprised of 132 townhome, 81 30' SFD, and 79 40' SFD units with the product intermixed throughout. The curvilinear streets allow for more attractive streetscapes and differentiation. The layout was strategically designed to minimize the views of existing powerlines by aligning the sides of the townhome product parallel to the lines. The plan also ensures all product lines are available in each phase to meet buyer demand consistently throughout the life of the community. The recent market trend is buyers value having more open space in the community which has been factored into the design as well.

.

Schools
Within individual submarkets there is no variance in school performance and the schools that serve COL are ranked average. All competitors for COL will be zoned for the same high school which the Division believes is the largest driving factor for homebuyers when considering schools, however the elementary and middle school for COL rank above average on greatschools.org. Within the MPC and surrounding areas, there are also a number of highly-rated charter and private schools.

- Josh Stevens Elementary School
  - 6/10 greatschools.org ranking; 3/5 star Nevada DOE ranking
  - 3.5 miles from COL
- Mahlon B. Brown Junior High School
  - 6/10 greatschools.org ranking; 2/5 star Nevada DOE ranking
  - 4.6 miles from COL
- Basic Academy of International Studies
  - 5/10 greatschools.org ranking; 3/5 star Nevada DOE ranking
  - 5.9 miles from COL

Contract Summary

The Division used a standard Beazer contract as the basis for the signed PSA. The closing date is the later of fifteen days after the conditions to close are satisfied or the outside close date of December 31, 2024.

Seller:	LLV 1-LLC
Effective Date:	November 14, 2023
First Deposit:	$90,000 at contract execution
Second Deposit:	$1,360,000 five days after feasibility expiration
Purchase Price:	$26,565,000 – LLV-1*
	$1,436,000 – LLV Golf Recovery Acquisition LLC
	$28,001,000 - Total
Commission	N/A
Purchase Type:	Bulk
Feasibility Period:	August 26, 2024
Closing Date:	December 31, 2024
Deposit Release:	None

***Remaining purchase of additional acreage**
The overall purchase consists of 57.53 acres owned by LLV-1 and 3.11 owned by the LLV Golf Recovery Acquisition LLC, which is owned by the Paulson Group. The current purchase and sale agreement states that both LLV-1 and Beazer were to design the site and agree to a land development cost then revise the purchase price which has been completed. Once that per acre purchase price has been determined, Beazer will work with LLV Golf Recovery Acquisition on a purchase agreement

using the same per acre price for the remaining 3.11 acres. The Division recently met with Jeff Anderson with Paulson and they have accepted the terms including price per acre, closing date and requirement for contingent closings. The two parties are working on getting a simplified contract drafted with the intent on being in escrow prior to our August 26th expiration of feasibility.

Key Conditions to Close

- Approval of site plan by Lake Las Vegas Master plan management. - **Complete**
- Entitlement approvals – **Submitted and schedule to be heard in November.**
- Grading plan approval from both Buyer and Seller - **Complete**
- Relinquishment, relocation or reduction of the 1400-foot utility corridor – **Seller requirement and work is underway.**
- Approval of LAR

Land Entitlement & Development

Land Entitlement

As a condition of the purchase and sale agreement Seller is obligated to contract and oversee the entire entitlement process with Beazer being the final approver. The Concept Plan Review (CPR) has been submitted to the City of Henderson and is scheduled to be heard at City Council on November 6, 2024. The Division is in constant contact with both the Seller's and Buyer's land use attorneys and has a meeting scheduled with the planning manager in early August.

Engineering

The Division has been working closely with Westwood Engineering, the engineer chosen by the Seller and will continue to use them throughout the civil engineering and surveying process. The Westwood team is currently preparing proposals and schedules for Beazer based on phasing plans that were provided. The Division will take over and work with the engineer to obtain plan approvals.

Land Development

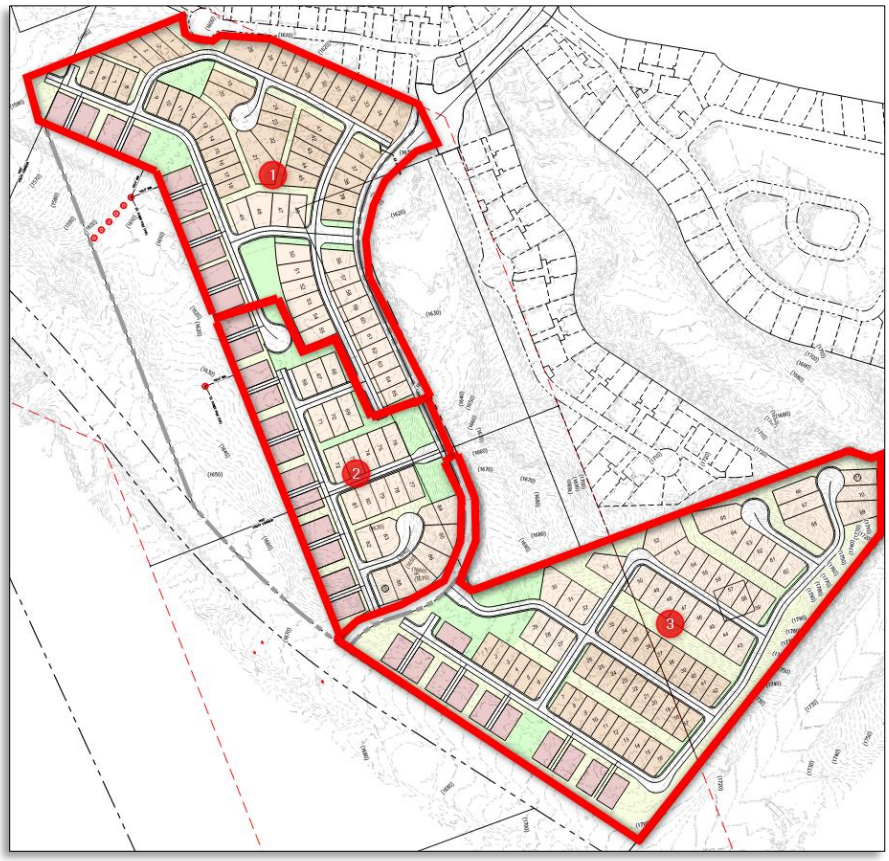
The site is vacant and raw and the Division will be responsible for all of the onsite land development items including utility stubs. Offsite water and sewer lines and streets will also be installed by the Division. The land development budget is $23M, includes a 10% contingency of hard costs, and is based on vendor proposals, detailed estimates for hard and soft costs based on the engineer's takeoff quantities and current unit costs, run-out estimates, and consultant recommendations. An entitlement and development schedule was prepared based on the Division's experience. Development of phase one is projected to begin in January 2025 and requires eleven months to complete. The entire site will be mass-graded.

COL is characterized between Normal and High Risk LAR as noted on page 1. Additionally, outside of those criteria:

- No civil improvement plans exist, but budgetary estimates were calculated based on the proposed tentative map and conceptual grading plan with cut/fill quantities. The Division also received bids from three grading contractors based on the above plan.
- The utilities do not guarantee capacity until they sign the final map which is customary in the market.
- The R&R budget is based on the anticipated need to seal coat all onsite pavement and for the replacement of commonly damaged items.
- The post-acceptance budget is based on the Division's experience at similar communities.
- The entitlement risk is minimal since the tentative map is a condition to close and the Division's entitlement package meets the Lake Las Vegas design guidelines prior to submission to the City.

COL will be split into three phases; However, all grading will be completed in the first phase:

- Phase 1 will contain 105 homes: 40 TH, 45 30', and 20 40'.
- Phase 2 will contain 72 homes: 48 TH and 24 40'.
- Phase 3 will contain 115 homes: 44 TH, 36 30', and 35 40'.



HOA
The LLV MPC has an existing HOA that COL will be annexed into. The master LLV HOA dues are $150 per month with a neighborhood sub-association required due to the private streets and townhomes. The sub-association fees are projected to be $65 per month for a total of $215 per month. There are four separate parcels that make up COL and one parcel does have one final special improvement district (SID)payment of $47,861.01 due prior to our estimated close of escrow. This installment will be the responsibility of the Seller.

Sales & Marketing

Submarket
COL is located in the Henderson submarket, ranked the #2 Safest City in America and a highly desired location within the Las Vegas Valley. Home prices in Henderson have been steady over the years with solid and consistent demand. The Henderson submarket is a target for families seeking parks, outdoor amenities, good schools and safe neighborhoods. Henderson has three MPCs: Inspirada, Cadence and Lake Las Vegas. Of the three MPCs, LLV is known for being a destination location with outstanding amenities. The golf course, hotels and lake provide residents of LLV numerous opportunities to enjoy the community. The location provides easy access to retail and entertainment and is approximately 25 minutes to the Las Vegas Strip.

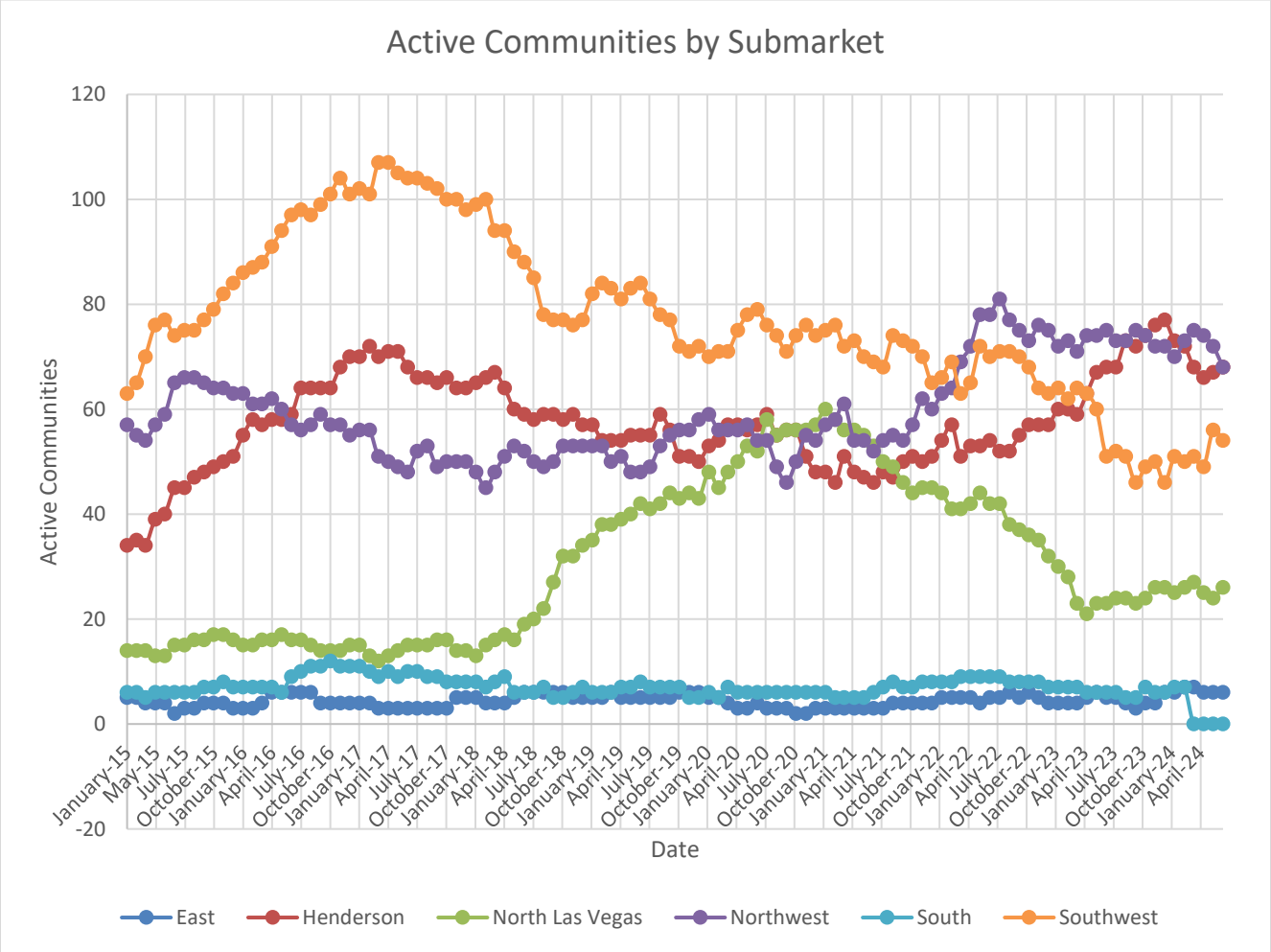
Supply	Prior Peak	Recent Trough	Last Year	This Year (Jan to June)
City Annual Single-Family Permits	3,356	1,117	3,512	1,741
County Annual Single-Family Permits	31,741	3,777	10,087	6,210
Supply Risk Early Indicator	-2.85	3.41	-0.61	-0.76

Price	Prior Peak	Recent Trough	Last Year	This Year
City Existing Median Single-Family Price	$507,778	$179,406	$490,000	$507,000
County Existing Median Single-Family Price	$448,300	$140,066	$425,000	$445,000
Price Risk Early Indicator	4.00	-1.07	2.15	1.56
FHA Loan Limits				$498,257
Townhome Triangle of Potential – Land Risk Rating				Some Opportunity
Townhome Triangle of Potential – Fair Share Demand Risk Rating				Very Low Risk
30’ Triangle of Potential – Land Risk Rating				Low Risk

30’ Triangle of Potential – Fair Share Demand Risk Rating	Very Low Risk
40’ Triangle of Potential – Land Risk Rating	Low Risk
40’ Triangle of Potential – Fair Share Demand Risk Rating	Very Low Risk

Supply

The eastern portion of the Henderson submarket is land constrained for both infill and MPCs. The Division has worked diligently to secure the last piece of suitable land in the Cadence MPC and now, one of the last suitable pieces in the Lake Las Vegas MPC. The land supply in this submarket is greatly hindered by the amount that is government owned and is not expected to increase beyond current levels.



Submarket Resilience Supply

During the sales life at COL, the number of communities in the Henderson submarket is expected to decrease. At the opening of COL, there will likely be 28 40’ product communities, 16 30’ product communities and 8 TH communities in the

Henderson submarket. Based on the supply constraints, the Division anticipates a decrease in community count throughout the lifetime of this project.

	Community	Q4FY24	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26	Q3FY26	Q4FY26	Q1FY27	Q2FY27	Q3FY27	Q4FY27	Q1FY28	Q2FY28	Q4FY27	Q1FY28	Q2FY28
Beazer	Colina Point																		
	Colina Ridge																		
	Cline Estates																		
Low Density	Crosswind Estates - Beazer																		
	Piermont - Woodside																		
	Glenmore I - Century																		
	Glenmore II - Century																		
	The Bluffs I - Century																		
	The Bluffs II - Century																		
	Everleigh - Toll Brothers																		
	Tresor - Lennar																		
	Ridgeview at Black Mountain Ranch - Lennar																		
	Daybreak at Black Mountain Ranch - Lennar																		
	Symmetry Summit - DR Horton																		
	River Mountain Trails - KB																		
	Viento Estates - Lennar																		
	Park Vistas - Paragon																		
	Marble Mesa - Richmond																		
	Cabaret - Richmond																		
	Marbella - Taylor Morrison																		
	Bella Strada - Toll Brothers																		
	Latiago Estates - Affleck																		
	TMA-2021008468 - Raintree																		
	TMA-2021008697 - Raintree																		
	TMA-2021008691 - LLV-4, LLC																		
	TMA-2021009304 - Rainy Day Investments																		
	Park Vistas - Paragon																		
	Galena Estates Subdivision - Affleck																		
	TMA-2013500575-A13 -PA18L1, LLC																		
	TMA-2022009673 - Las Vegas Paving Corporation																		
	The Hills - L.R. Nelson Consulting Engineers																		
	TMA-2019003703-A3 - Pulte																		
	Rocky Ridge - Christopher Homes																		
	TMA-2022009668 -LLV-1 LLC																		
	TMA-2021008906 - Woodside																		
	TMA-2022010216 - Lake Las Vegas Recovery Acquisition, LLC																		
	TMA-2021008900 - Woodside																		
	TMA-2022010928 - Raintree Investment Corporation, LLC																		
	TMA-2022010921 - Woodside																		
	Lakemoor - Lakemoor Ventures																		
	TMA-2023012604 - Enterprise One Inc																		
High Density	Esperando - Richmond																		
	Riviera Vista - Lennar																		
	Allegro - Richmond																		
	Libretto - Storybook																		
	Serenade - Storybook																		
	Landmark at Black Mountain Ranch- Lennar																		
	Symmetry Bay - DR Horton																		
	Symmetry Falls - DR Horton																		
	Modena I - Century																		
	Modena II - Century																		
	Serenata - Woodside																		
	Verona - Taylor Morrison																		
	TMA-2021008468 - AMH																		
	TMA-2021008237 - AMH																		
	TMA-2021007104- KB																		
	TMA-2021009287 - AMH																		
	TMA-2022009461 - Lennar																		
	TMA-2022009924 - Lennar																		
	Carlton - Lennar																		
	TMA-2022009883 - DR Horton																		
	TMA-2023012774 - William Lyon																		
	TMA-2023012803 - DR Horton																		
Attached	Jasper Point - Beazer																		
	Serenity Place - Harmony																		
	Black Mountain Ranch Highpointe - Lennar																		
	Somerville - Century																		
	Aqua - Lennar																		
	Overture - Richmond																		
	Hampton - Lennar																		
	Alderidge - Century																		
	The Presley - Lennar																		
	Low Density	18	21	29	27	29	28	26	25	25	20	16	15	14	9	8	6	5	4
	High Density Community Count	13	14	17	19	18	16	15	14	13	12	11	10	8	8	7	5	2	2
	Attached Community Count	9	9	9	9	9	8	8	8	8	7	7	7	7	5	5	4	4	4
	Total Community Count	31	35	46	46	47	44	41	39	38	32	27	25	22	17	15	11	7	6

Submarket Resilience Demand

The Henderson submarket is rated resilient when compared to the other submarkets identified by the Division. The Henderson submarket has consistently performed as one of the most desirable submarkets and the Division believes demand will remain strong in the future.

Demand

The demand for the Henderson submarket has been relatively constant over the past few years, however, in 2022 the demand of all submarkets decreased due to market conditions. In 2023, the Henderson market rebounded to pre-2022 levels and is one of only two submarkets with sales higher in 2023 than 2021. The

Division believes the amenities offered in Henderson, such as above average schools and high level of safety, contribute to its desirability and resilience.

Total Sales - Dennis Smith Report									
Submarket	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**
East	280	260	381	332	236	218	170	210	277
Henderson	2,072	2,392	2,312	2,187	2,252	2,694	1,920	2,710	1,748
North Las Vegas	779	933	1,203	1,947	2,950	3,167	1,440	1,230	922
Northwest	1,627	1,596	1,814	1,902	2,174	2,590	2,168	3,011	1,756
South	240	440	127	125	281	510	425	232	35
Southwest	3,187	3,900	3,552	2,773	2,682	3,139	1,871	2,664	1,534
Las Vegas Total (Excluding Outlying Submarkets	**8,185**	**9,521**	**9,389**	**9,266**	**10,575**	**12,318**	**7,994**	**10,057**	**6,272**

*2024 data is through June

Sales / Community / Month - Dennis Smith Report									
Submarket	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**
East	5.0	6.2	6.1	5.2	5.9	5.3	2.8	3.9	7.3
Henderson	2.8	2.9	3.2	3.4	3.4	4.6	2.9	3.3	4.2
North Las Vegas	4.3	5.4	4.6	4.0	4.7	5.1	3.0	4.2	6.0
Northwest	2.3	2.6	3.0	3.0	3.4	3.8	2.5	3.4	4.1
South	2.2	4.0	1.6	1.6	3.9	6.6	4.3	3.1	2.5
Southwest	2.8	3.2	3.4	2.9	3.0	3.7	2.3	4.0	4.9
Las Vegas Total (Excluding Outlying Submarkets	**2.8**	**3.2**	**3.4**	**3.2**	**3.6**	**4.3**	**2.7**	**3.6**	**4.6**

*2024 data is through June

Income Analysis

The Triangle of Potential tool was used to analyze the Henderson submarket using a 7.5% interest rate giving the ToP affordability risk a very low risk rating for each product line. The TH product's ToP allows for 55 future competitors while still being classified as very low risk while there are only 40 current communities priced the same or higher. The 30' product's ToP allows for 68 future competitors while still being classified as very low risk while there are only 21 current communities priced the same or higher. The 40' product's ToP allows for 75 future competitors while still being classified as very low risk while there are only 15 current communities priced the same or higher.

ToP: Townhome Product - Henderson Submarket

TRIANGLE OF POTENTIAL			
Lot Cost Risk - Opportunity		Affordability Risk - Very Low Risk	
Metric	Value	Risk Rating	Notes
Income to Home Price			
Med. Household Income of Submarket*	$88,073		
Med. Home Price Affordability of Households within the Submarket*	$314,547		Home price that the average household should qualify for a mortgage
Home Price per CMA	$456,490		
% of Households that can Afford ASP	34%		Share of Households that can qualify for a mortgage within a reasonable range of the ASP
# of Household that can Afford ASP	47,928		Number of Households that can qualify for a mortgage within a reasonable range of the ASP
Home Price to Land Price			
Product Type	**TH**		
Lot Cost Average as % of ASP	34%		Determined from a regression analysis from all LAR submissions since FY15.
% of ASP	24%	Opportunity	Lot Cost as a % of ASP is between one and two standard deviations below the mean.
Derived Lot Cost from Average Lot Cost as % of ASP	$156,027		
Land Dev/lot from Pro Forma	$66,141		
Derived Land Purchase Price	**$89,886**		
Land Purchase Price from Pro Forma	$45,293		
Variance	**$44,593**		
Market Share Risk			
% of Households that can Afford ASP	34%		
# of Household that can Afford ASP	47,928		
Homeownership Rate at Affordability Income Level	84%		
# of Homeowner Households that can Afford ASP	40,263		
Annual Propensity for Submarket Homeowners to Move	7.25%		
Homeowners within Submarket that Move to a Different Home Each Year	2,920		
Homeowners that move to Submarket from Another Location Each Year	1,222		
Total Homeowners moving in the Submarket Each Year that can Afford ASP	4,142		
Total Competitors @ Similar or Higher Price in Submarket	55		
Total Projects Competing for Buyers, including Colina Point	56		
Colina Point Fair Share (# & %) of Potential Buyers within Submarket Each Year	74 (2%)		
Colina Point Average Annual Sales from Proforma	69		
Assumed Colina Point Annual Sales as a Percentage of Fair Share of Potential Buyers Each Year	**2%**	Very Low Risk	Required capture of fair share of demand allows for FIVE additional competitors to enter market without eroding demand potential

*Where submarkets consisting of more than one zip code are used, the average of all included zip codes' median is shown

ToP: 30' Product - Henderson Submarket

TRIANGLE OF POTENTIAL			
Lot Cost Risk - Low Risk		Affordability Risk - Very Low Risk	
Metric	Value	Risk Rating	Notes
Income to Home Price			
Med. Household Income of Submarket*	$88,073		
Med. Home Price Affordability of Households within the Submarket*	$314,547		Home price that the average household should qualify for a mortgage
Home Price per CMA	$559,222		
% of Households that can Afford ASP	26%		Share of Households that can qualify for a mortgage within a reasonable range of the ASP
# of Household that can Afford ASP	37,224		Number of Households that can qualify for a mortgage within a reasonable range of the ASP
Home Price to Land Price			
Product Type	**SF**		
Lot Cost Average as % of ASP	33%		Determined from a regression analysis from all LAR submissions since FY15.
% of ASP	37%	Low Risk	Lot Cost as a % of ASP is within one standard deviation above the mean.
Derived Lot Cost from Average Lot Cost as % of ASP	$184,695		
Land Dev/lot from Pro Forma	$81,026		
Derived Land Purchase Price	**$103,669**		
Land Purchase Price from Pro Forma	$125,480		
Variance	**-$21,811**		
Market Share Risk			
% of Households that can Afford ASP	26%		
# of Household that can Afford ASP	37,224		
Homeownership Rate at Affordability Income Level	89%		
# of Homeowner Households that can Afford ASP	33,041		
Annual Propensity for Submarket Homeowners to Move	7.25%		
Homeowners within Submarket that Move to a Different Home Each Year	2,396		
Homeowners that move to Submarket from Another Location Each Year	1,003		
Total Homeowners moving in the Submarket Each Year that can Afford ASP	3,399		
Total Competitors @ Similar or Higher Price in Submarket	68		
Total Projects Competing for Buyers, including Lake Las Vegas	69		
Lake Las Vegas Fair Share (# & %) of Potential Buyers within Submarket Each Year	49 (1%)		
Lake Las Vegas Average Annual Sales from Proforma	46		
Assumed Lake Las Vegas Annual Sales as a Percentage of Fair Share of Potential Buyers Each Year	**1%**	Very Low Risk	Required capture of fair share of demand allows for FIVE additional competitors to enter market without eroding demand potential

*Where submarkets consisting of more than one zip code are used, the average of all included zip codes' median is shown

ToP: 40' Product - Henderson Submarket

TRIANGLE OF POTENTIAL			
Lot Cost Risk - Low Risk		Affordability Risk - Very Low Risk	
Metric	**Value**	**Risk Rating**	**Notes**
Income to Home Price			
Med. Household Income of Submarket*	$88,073		
Med. Home Price Affordability of Households within the Submarket*	$314,547		Home price that the average household should qualify for a mortgage
Home Price per CMA	$648,109		
% of Households that can Afford ASP	21%		Share of Households that can qualify for a mortgage within a reasonable range of the ASP
# of Household that can Afford ASP	29,751		Number of Households that can qualify for a mortgage within a reasonable range of the ASP
Home Price to Land Price			
Product Type	SF		
Lot Cost Average as % of ASP	36%		Determined from a regression analysis from all LAR submissions since FY15.
% of ASP	38%	Low Risk	Lot Cost as a % of ASP is within one standard deviation above the mean.
Derived Lot Cost from Average Lot Cost as % of ASP	$235,231		
Land Dev/lot from Pro Forma	$93,905		
Derived Land Purchase Price	$141,325		
Land Purchase Price from Pro Forma	$151,360		
Variance	-$10,035		
Market Share Risk			
% of Households that can Afford ASP	21%		
# of Household that can Afford ASP	29,751		
Homeownership Rate at Affordability Income Level	92%		
# of Homeowner Households that can Afford ASP	27,516		
Annual Propensity for Submarket Homeowners to Move	7.25%		
Homeowners within Submarket that Move to a Different Home Each Year	1,996		
Homeowners that move to Submarket from Another Location Each Year	835		
Total Homeowners moving in the Submarket Each Year that can Afford ASP	2,831		
Total Competitors @ Similar or Higher Price in Submarket	75		
Total Projects Competing for Buyers, including Lake Las Vegas	76		
Lake Las Vegas Fair Share (# & %) of Potential Buyers within Submarket Each Year	37 (1%)		
Lake Las Vegas Average Annual Sales from Proforma	35		
Assumed Lake Las Vegas Annual Sales as a Percentage of Fair Share of Potential Buyers Each Year	1%	Very Low Risk	Required capture of fair share of demand allows for FIVE additional competitors to enter market without eroding demand potential

*Where submarkets consisting of more than one zip code are used, the average of all included zip codes' median is shown

Below is a table of the Division's lot cost percentages from recent LAR approved communities along with COL. The Division believes each product line's lot cost at COL, while higher than others, is consistent with the current market for these product lines.

Community	Lot Cost %
Gatherings at Ridgemont	23.7%
Crosswind Estates	35.7%
Westview Estates	34.5%
Cantata Point @ Cadence	27.9%
Aria Crossing @ Cadence	39.7%
Keystone	32.5%
Sunterra	31.8%
Rainbow Creek	28.3%
Montview Estates	36.6%
Colina Point	**24.4%**
Colina Ridge	**36.9%**
Colina Estates	**37.8%**

Product Offering
The Division's three communities will offer the following product: Colina Point ("CP") with the core Townhome ("TH") product ranging from 1,447 to 1,832 sf; Colina Ridge ("CR") 30' SFD two-story product ranging from 2,034 to 2,719 sf; and Colina Estates ("CE") 40' SFD product ranging 2,100 to 3,179 sf. All but one plan has previously been approved for use in the City of Henderson and the Division does not anticipate problems with the floor plan approval at COL based on the prior experience and history building in this municipality; however, we will still be required to obtain the master plans design review committees approval as well. We shared preliminary elevations with Jeff Anderson when we approved the site plan and feel confident that we adhere to their requirements.

Unique Selling Proposition
The USPs at COL are held at both the MPC level and at Division community level. The LLV MPC USPs include the overall inviting resort feel. The community feels like you're on vacation as you drive through the winding streets with golf course views and head to the lake at the center of the community. The multiple walking trails, sport courts, parks, restaurants, and hotels offer a one-of-a-kind living experience in Las Vegas and Henderson. There are multiple schools within the MPC, including top rate and highly sought after private and charter schools. In addition, within a few minutes, there is easy access to Lake Mead, the Hoover Dam, local wetland parks, and trails.

The Division USPs will include solar standard in all three communities, Surprising Performance and DOE Zero Energy Ready, and will have some of the lowest price points of the competition in the MPC.

UPC segments
Based on HHI, population share, and comparison to the buyer UPCs for the Division's Henderson submarket, we anticipate the top UPC buyer segments at COL will be: 2A, 3A, 3B, 4B. The buyers will need to have a combined HHI of approximately $135K plus to be able to qualify for a home in the mid $400Ks and up. We will also see secondary buyers from out of state looking to downsize but not willing to give up the lifestyle and high-end features they are accustomed to within the home. Currently approximately 67% of the residents in 89011 are the 3 and 4 segment. These will not be first-time buyers; they will look to be able to personalize their homes with higher end options highlighting their affluence. Merchandising and option packages should reflect these buyer profiles. Messaging for these homes will not only speak to how we build our homes but will also be highly targeted to buyer segments looking for outdoor living and a luxurious lifestyle.

COL UPC Buyer Segments

Household Income Distribution by UPC for Specific Geographies

89011 (Henderson, NV) - ZIP Code

UPC	Annual Household Income < $20k	$20k - $39k	$40k - $49k	$50k - $74k	$75 - $99k	$100k - $149k	$150k+	Approximate Average Income*	Share of Households
1A	0%	0%	0%	0%	0%	0%	0%	$0	0%
1C	0%	0%	0%	85%	1%	14%	0%	$71,458	3%
1D	0%	0%	0%	0%	0%	0%	0%	$0	0%
1F	0%	0%	0%	0%	0%	0%	0%	$0	0%
2A	0%	0%	0%	0%	0%	44%	56%	$166,712	7%
2B	0%	0%	0%	0%	1%	80%	18%	$138,200	3%
2C	0%	0%	13%	33%	38%	15%	1%	$80,557	13%
2D	40%	46%	14%	0%	0%	0%	0%	$23,981	3%
2F	0%	0%	0%	0%	0%	0%	0%	$0	0%
3A	0%	0%	0%	0%	0%	0%	100%	$200,000	2%
3B	0%	0%	0%	0%	2%	24%	74%	$179,680	16%
3C	0%	0%	0%	32%	51%	17%	0%	$85,891	8%
3D	20%	35%	14%	25%	6%	0%	0%	$39,580	8%
3F	0%	0%	0%	0%	0%	0%	0%	$0	0%
4A	0%	0%	0%	0%	0%	0%	0%	$0	0%
4B	0%	5%	3%	9%	4%	42%	37%	$138,490	28%
4C	0%	0%	1%	58%	41%	0%	0%	$72,497	5%
4D	42%	23%	9%	12%	13%	0%	0%	$34,248	4%
4F	100%	0%	0%	0%	0%	0%	0%	$10,000	0%

*If Approximate Average Income value = $0, there are no households within the subject area that align with that UPC.

Henderson, NV (3231900) - Place

UPC	Annual Household Income < $20k	$20k - $39k	$40k - $49k	$50k - $74k	$75 - $99k	$100k - $149k	$150k+	Approximate Average Income*	Share of Households
1A	0%	0%	0%	0%	43%	57%	0%	$109,055	0%
1C	0%	0%	0%	85%	1%	14%	0%	$71,458	2%
1D	11%	80%	9%	0%	0%	0%	0%	$29,093	0%
1F	98%	2%	0%	0%	0%	0%	0%	$10,480	0%
2A	0%	0%	0%	0%	0%	44%	56%	$167,225	8%
2B	0%	0%	0%	0%	2%	80%	18%	$138,065	3%
2C	0%	0%	17%	26%	37%	19%	0%	$81,369	11%
2D	37%	50%	11%	1%	1%	0%	0%	$25,214	4%
2F	100%	0%	0%	0%	0%	0%	0%	$10,000	0%
3A	0%	0%	0%	1%	1%	5%	94%	$194,447	4%
3B	0%	0%	0%	0%	3%	25%	71%	$176,815	15%
3C	0%	1%	2%	27%	51%	19%	0%	$86,193	7%
3D	20%	36%	18%	21%	4%	0%	0%	$38,381	9%
3F	100%	0%	0%	0%	0%	0%	0%	$10,000	0%
4A	0%	0%	0%	0%	0%	0%	0%	$0	0%
4B	0%	7%	5%	14%	6%	37%	31%	$125,843	26%
4C	0%	2%	5%	41%	52%	0%	0%	$74,037	5%
4D	37%	42%	8%	7%	6%	0%	0%	$29,624	5%
4F	100%	0%	0%	0%	0%	0%	0%	$10,000	1%

*If Approximate Average Income value = $0, there are no households within the subject area that align with that UPC.

Three Differentiators

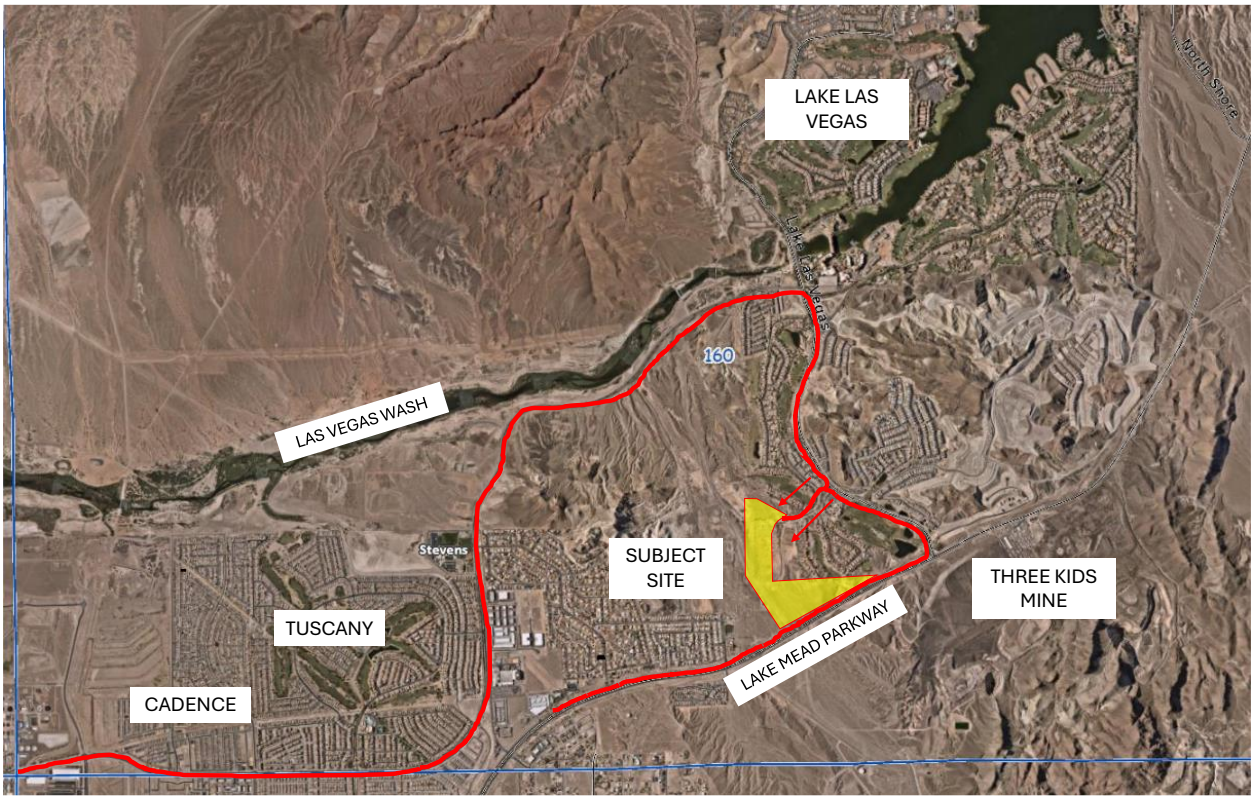
The floor plans offered at COL are solar standard, Energy Star 3.2 certified, Indoor airPLUS qualified, and DOE Zero Energy Ready certified. The elements of Surprising Performance and resulting savings on utility costs resonate well with buyers.

The Division uses a core group of four Choice Lenders that service all the Division's communities with each providing a variety of loan programs that give appropriate options for buyers. Since COL will not have unique buyers compared to existing communities, no changes to the Choice Lender roster are necessary.

Each of the floor plans will offer two choice options; choice kitchen and choice primary bathroom.

Marketing Window
The COL communities will be located at the corner of Via Vin Santo and Lake Las Vegas Pkwy. providing a prime marketing window along this busy corridor. There will also be convenient access and visibility from Lake Mead Blvd. with traffic from downtown Henderson and from Galleria Dr. for traffic coming off of the I-11. There is easy access to the Las Vegas Strip only 25 minutes away, Harry Reid International Airport, and several employment and entertainment sectors in the Las Vegas market.

Colina



Model and Sales Strategy
The Division will operate three separate sales centers, one for each product line, located within close proximity to each other. CP (TH) model complex will include each of the two floorplans being offered. CR (30's) `will model three of the four floorplans being offered. CE (40's) will model two of the three floorplans being offered.

The City of Henderson will allow building permits without completion of land development, thus building permits for models are projected in August 2025. Grand opening from fully decorated models is projected to occur in December 2025 for all three communities. The land development will be substantially complete at the time of the grand opening; however, there may still be smaller items like mailboxes left to complete.

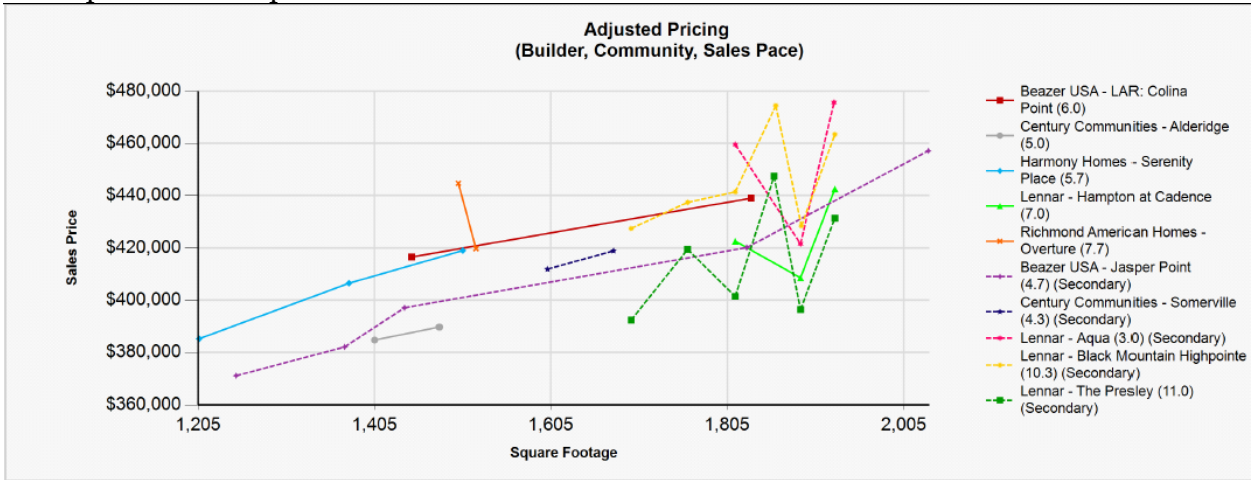
Competitive Market Analysis

COL is projected to have a sales pace of 3.0 per month at CE, 4.0 per month at CR, and 6.0 per month at CP. The Division feels this is an appropriate sales pace given the amenity access and fair pricing on the graph.

Colina Point Competitors

The competitors that will be selling against CP are mainly located in the Cadence MPC. There are four primary competitors located in Cadence. CP does not currently have any primary TH competitors within the LLV MPC. While there are TH and condominium sales within the community, they are all resale homes. Both MPCs exhibit high amenity features, but the LLV MPC has higher pricing due to more exclusive views and recreation nearby. The Division has projected a sales pace that is in line with the majority of the primary competitors for CP.

CP sits as the high line on the adjusted pricing graph when compared to its competitors, but the Division does not believe this will have a negative effect on sales. The communities in Cadence sell at a similar pace to what is projected for CP. Competitors outside of any MPC have greater variances in sales pace. The average sales pace for competitors of CP is 6.5.

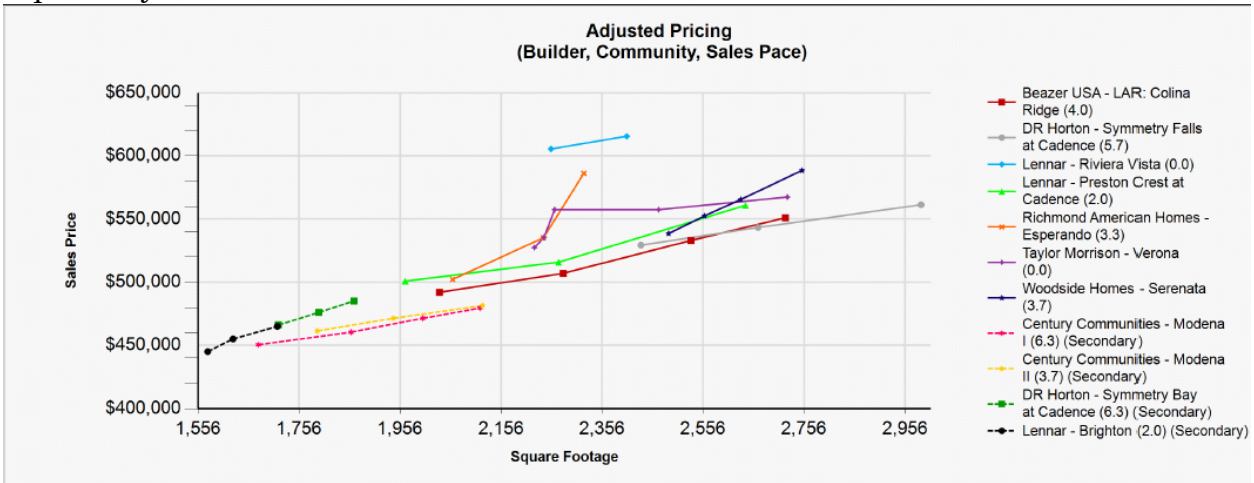


Community Name	Century Communities: Alderidge	Harmony Homes: Serenity Place	Lennar: Hampton at Cadence	Richmond American Homes: Overture	Beazer USA: Jasper Point (Secondary)	Century Communities : Somerville (Secondary)	Lennar: Aqua (Secondary)	Lennar: Black Mountain Highpointe (Secondary)	Lennar: The Presley (Secondary)
General Home & Exterior Features	$11770	$11155	($2875)	$10391	$0	$10908	($2875)	($2875)	($2875)
General Interior Features	($2437)	$2052	$1896	($1362)	$0	($2437)	$1896	$1896	$1896
Kitchen Features	$10	$2425	($1463)	$345	$0	$10	($1463)	($1463)	($1463)
Primary Suite	$2760	$3001	$460	$2760	$0	$2760	$460	$460	$460
Secondary Beds/Baths	($41)	$343	$102	($41)	$0	($41)	$102	($41)	($41)
Energy Features	$19894	$20923	$19894	$19894	$8107	$19894	$19894	$19894	$19894
Miscellaneous Items	($230)	($172)	($460)	($230)	$0	($230)	($460)	($460)	($460)
Total Adjustments	$31,726	$39,727	$17,554	$31,757	$8,107	$30,864	$17,554	$17,411	$17,411
Adjusted Average Sales Price	$388,049	$403,550	$424,544	$432,207	$405,497	$415,354	$450,744	$445,401	$414,734

Colina Ridge Competitors

There are currently two 30' primary competitors within the LLV MPC and four primary competitors located in Cadence for CR. Both communities within the LLV MPC are new with no reported sales pace yet. Four of the competitors located in the Cadence MPC are secondary competitors due to having smaller square footages. The Division has projected a sales pace that is slightly more aggressive than those primary competitors in Cadence. The Division believes this pace is justified by the features mentioned previously.

The Division believes the pricing for CR is in line with competitors in Cadence and competitive with those primary competitors located in LLV. The projected sales pace for CR is greater than many of the competitors shown on the graph. The Division believes the slow sales paces are due to the short amount of time those communities have been open and that sales paces will pick up by the time CR opens for sale. The average sales pace for competitors that have been open for at least three months is 4.1 which excludes those communities that opened too recently to report any sales.

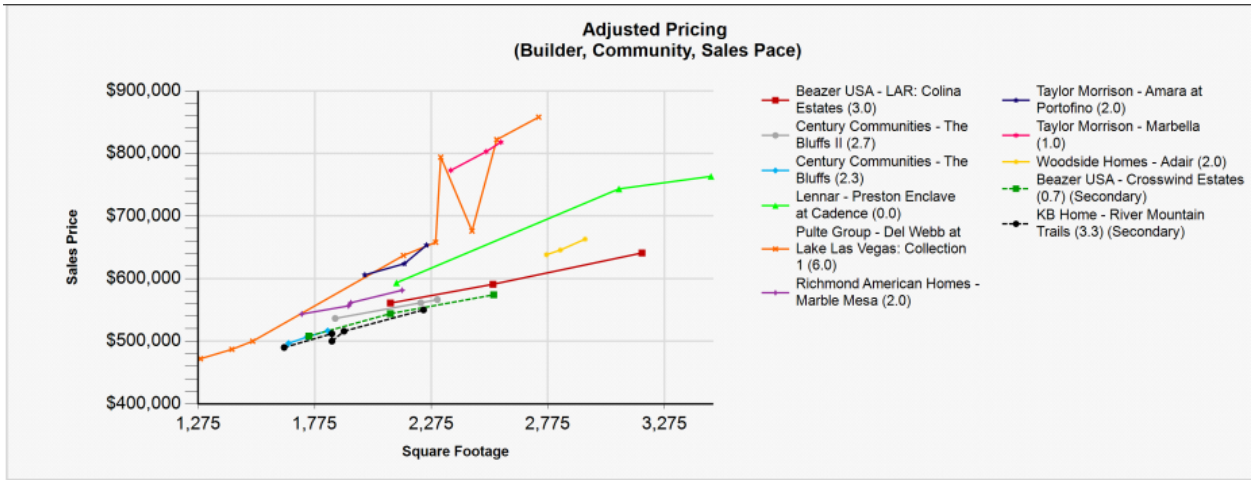


Community Name	DR Horton: Symmetry Falls at Cadence	Lennar: Riviera Vista	Lennar: Preston Crest at Cadence	Richmond American Homes: Esperando	Taylor Morrison: Verona	Woodside Homes: Serenata	Century Communities: Modena I (Secondary)	Century Communities: Modena II (Secondary)	DR Horton: Symmetry Bay at Cadence (Secondary)	Lennar: Brighton (Secondary)
General Home & Exterior Features	$3726	($294)	$378	$3054	($6146)	$3726	$4278	$4278	$3726	$13460
General Interior Features	($322)	$1085	$4512	$80	$1005	$0	$402	$402	($322)	$4512
Kitchen Features	$172	$6768	$7710	$747	$3185	$747	$747	$747	($960)	$4835
Primary Suite	$2645	$2576	$3679	$3565	$6382	$4370	$4370	$4370	$3565	$3679
Secondary Beds/Baths	($977)	($11)	$862	($805)	$1034	$287	$287	$287	($977)	$862
Energy Features	$19894	$20923	$21049	$19894	$21049	$19894	$19894	$19894	$19894	$21049
Miscellaneous Items	$161	$471	$643	($288)	$976	$471	$471	$471	$161	$643
Total Adjustments	$25,299	$31,518	$38,833	$26,247	$27,485	$29,495	$30,449	$30,449	$25,087	$49,040
Adjusted Average Sales Price	$544,622	$610,508	$525,823	$541,197	$548,985	$561,235	$465,439	$471,439	$475,743	$455,030

Colina Estates Competitors

CE has six primary competitors within the LLV MPC and two primary competitors within Cadence. One of the primary Cadence competitors opened too recently to report any sales. The Division believes that it is important to track the competitors in Cadence as primary due to the unique location of CR between the outer boundaries of Cadence and edge of LLV. There are two secondary competitors for CE located outside of the MPCs.

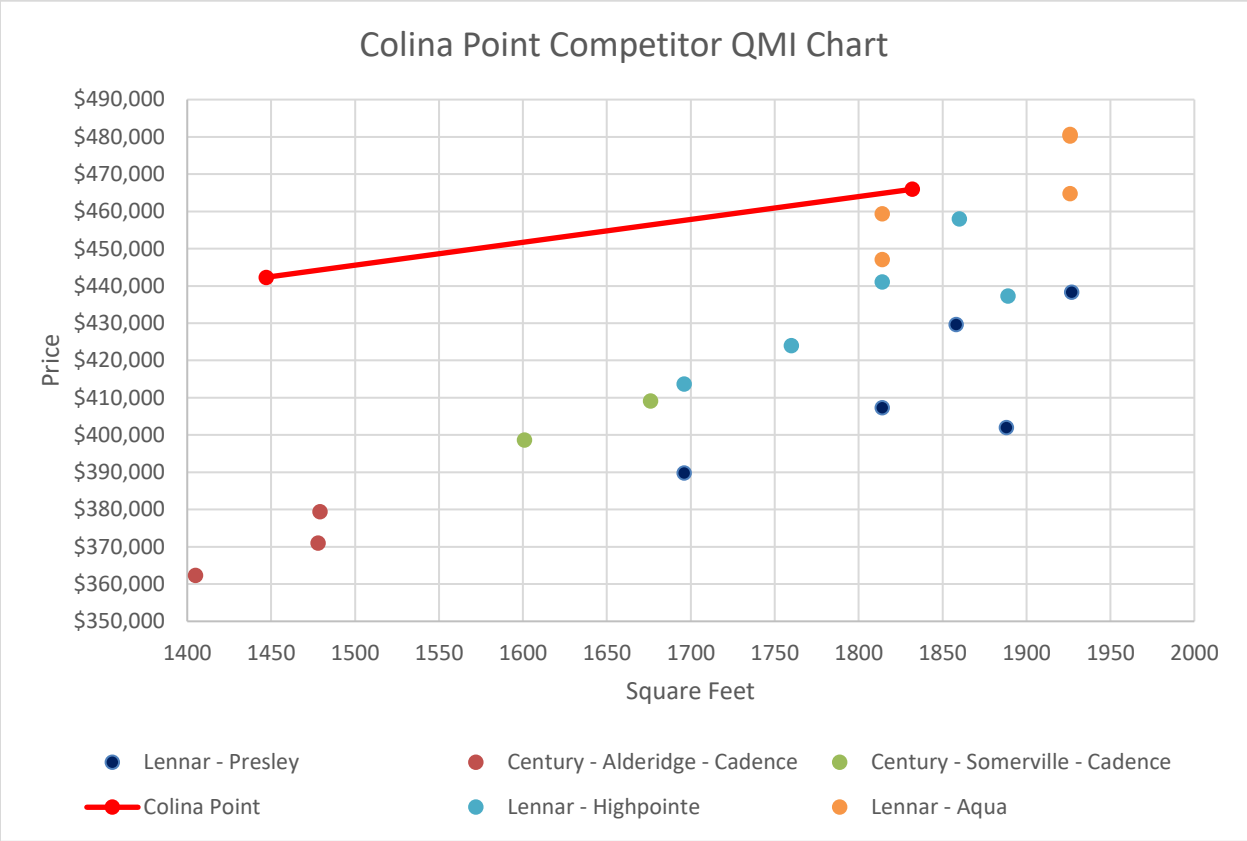
The majority of primary competitors located in the LLV MPC are priced higher than CE. There are two LLV competitors priced lower than CE which the Division believes is due to the communities having smaller square footage homes. The secondary competitors for CE are located outside of any MPC and reflect lower prices as well. When compared to Cadence primary competitors, CE is priced lower on this chart. The Cadence competitors are 40' two-story homes that the Division believes will compete with the Somerset (V570). The Division believes that pricing for CE is appropriate and competitive. The average sales pace for competitors is 2.4 which excludes the community with no reported sales due to its recent opening.

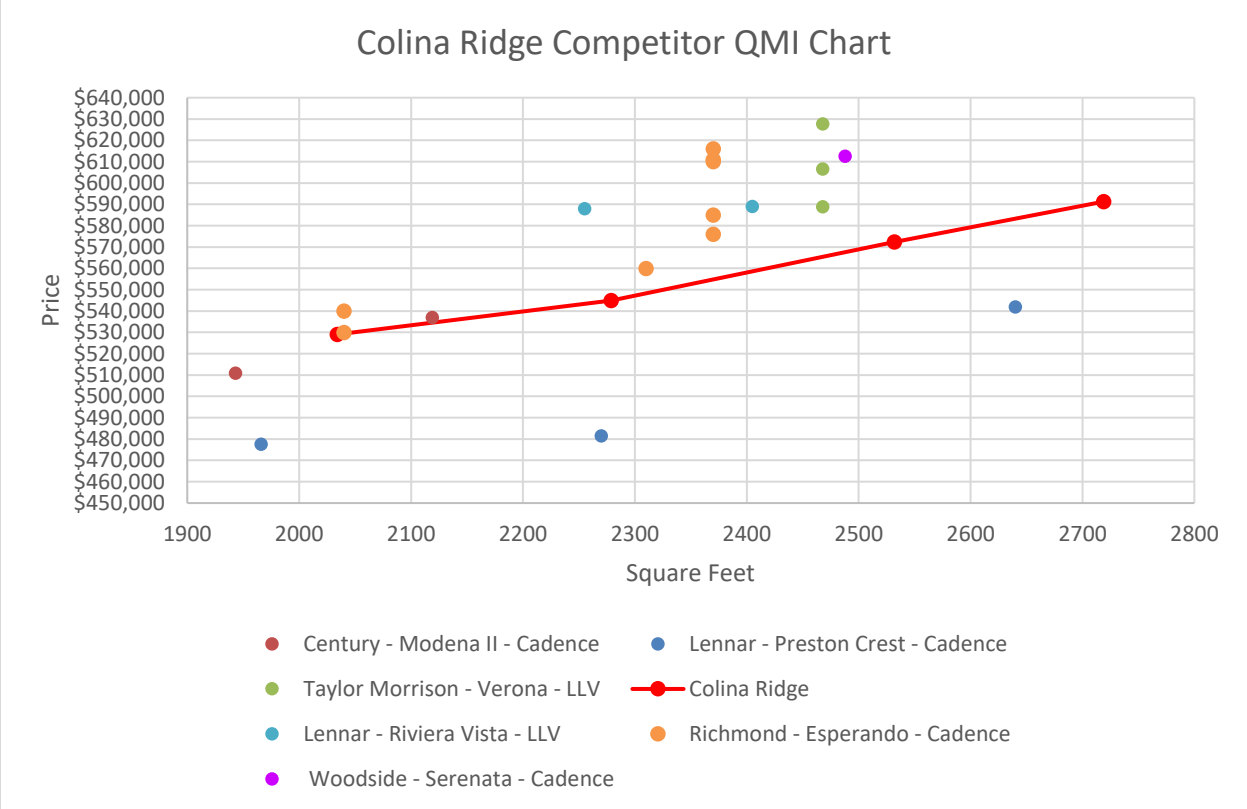


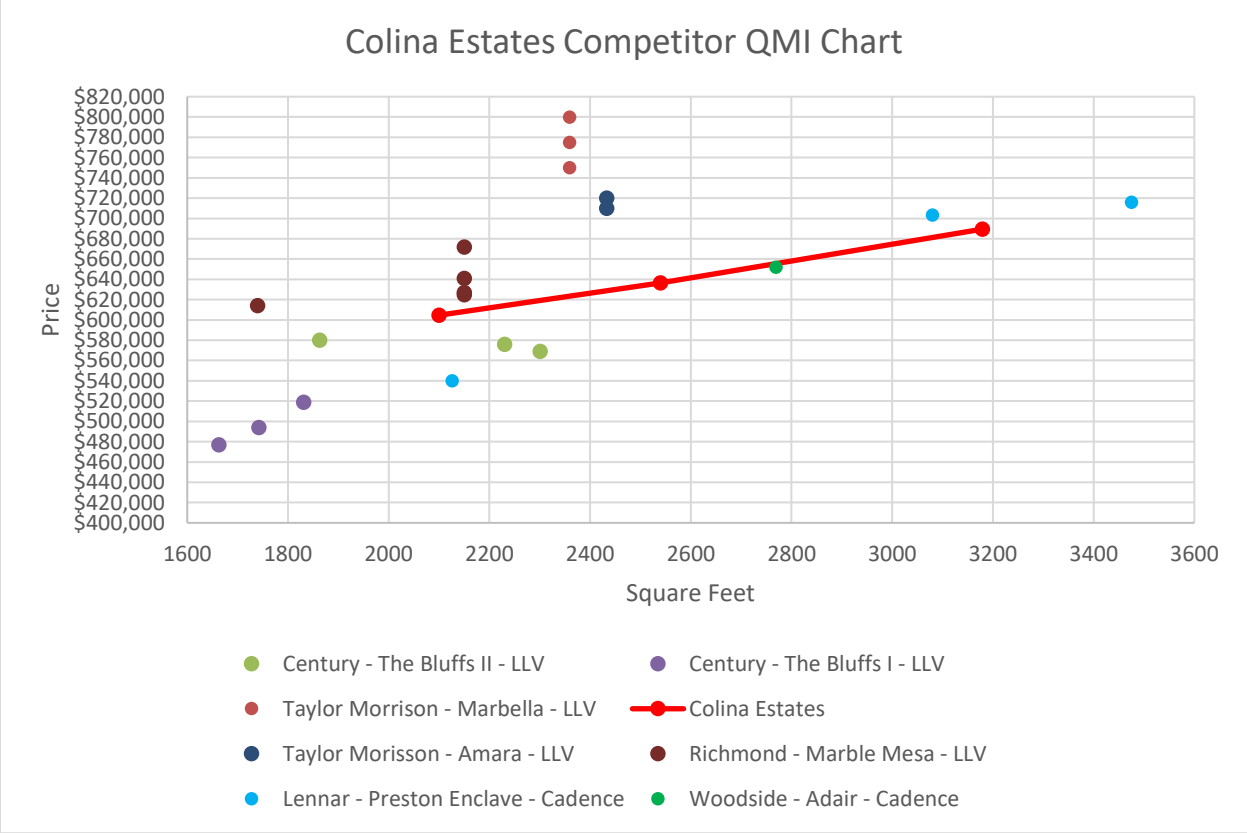
Community Name	Century Communities: The Bluffs II	Century Communities: The Bluffs	Lennar: Preston Enclave at Cadence	Pulte Group: Del Webb at Lake Las Vegas: Collection 1	Richmond American Homes: Marble Mesa	Taylor Morrison: Amara at Portofino	Taylor Morrison: Marbella	Woodside Homes: Adair	Beazer USA: Crosswind Estates (Secondary)	KB Home: River Mountain Trails (Secondary)
General Home & Exterior Features	**$22903**	**$22903**	**$25783**	**$10723**	**$10051**	**$25456**	**$9524**	**$25456**	**$0**	**$12875**
General Interior Features	**$1034**	**$1034**	**$4110**	**$310**	**$712**	**$4139**	**$4139**	**$4512**	**$0**	**$3507**
Kitchen Features	**$4024**	**$4024**	**$9722**	**$5565**	**$1712**	**$3300**	**$3300**	**$6082**	**$0**	**$2759**
Primary Suite	**$1667**	**$1667**	**$2587**	**$3554**	**$2932**	**$966**	**$966**	**$4657**	**$0**	**$4370**
Secondary Beds/Baths	**$747**	**$1034**	**($517)**	**$161**	**($461)**	**$908**	**$908**	**$908**	**$0**	**($172)**
Energy Features	**$21049**	**$21049**	**$21049**	**$17709**	**$19560**	**$21049**	**$21049**	**$21049**	**$8107**	**$20923**
Miscellaneous Items	**$976**	**$976**	**$643**	**$976**	**$976**	**$161**	**$161**	**$471**	**$0**	**$804**
Total Adjustments	**$52,400**	**$52,687**	**$63,377**	**$38,998**	**$35,482**	**$55,979**	**$40,047**	**$63,135**	**$8,107**	$45,066
Adjusted Average Sales Price	$554,723	$506,677	$700,033	$655,988	$560,682	$627,755	$797,947	$648,958	$542,097	$513,656

New Home Closing Activity

The Division compared COL's projected closing prices to Cadence and LLV's available quick move-in homes to show how COL closing prices compare to the competitors. The communities in the charts below were labeled with "LLV" or "Cadence" to designate if they are in an MPC; those with no label are not MPC communities. The Division believes the projected closing prices for COL will compete well with home closings in the LLV MPC and believes that the higher pricing when compared to Cadence MPC and non MPC closings is justified by our USPs.

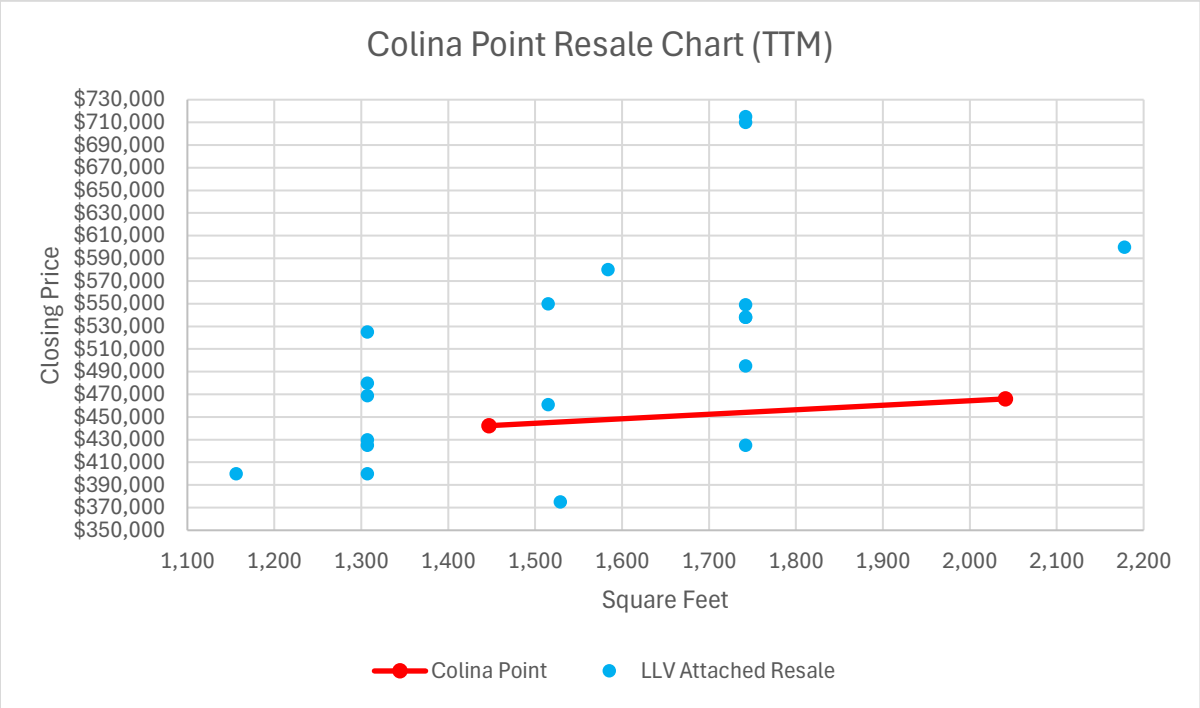


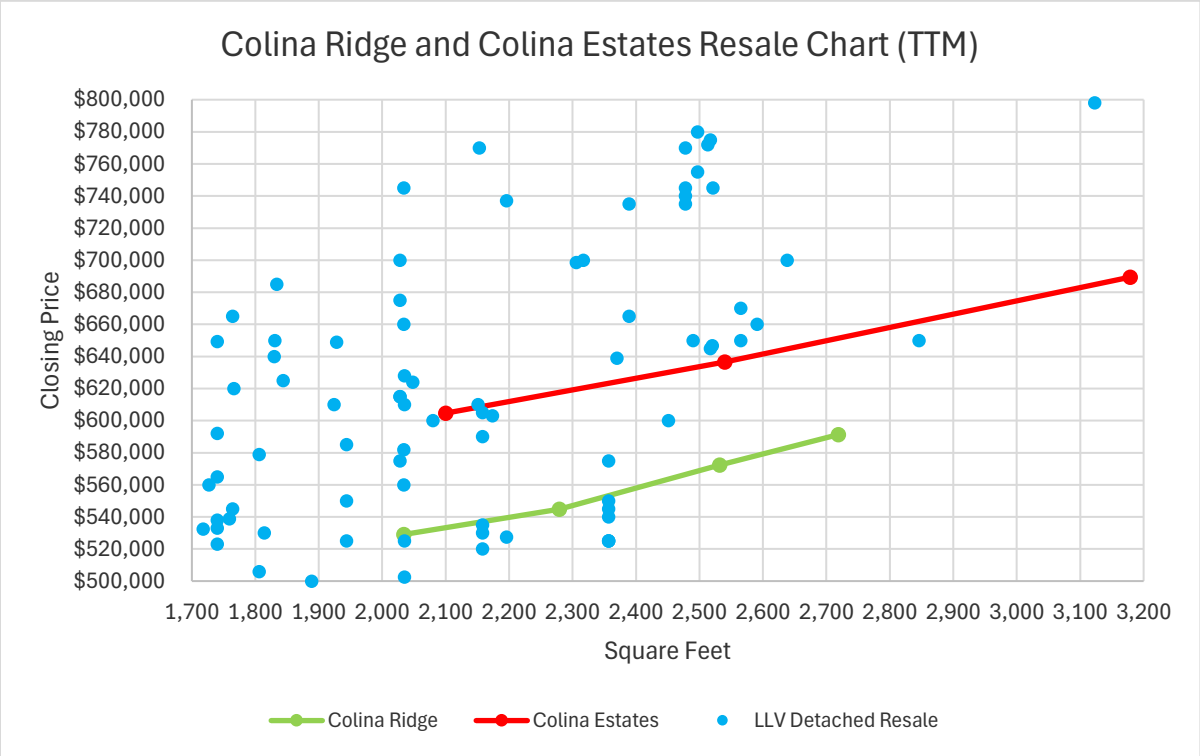

Colina Ridge Competitor QMI Chart
Price
$640,000
$630,000
$620,000
$610,000
$600,000
$590,000
$580,000
$570,000
$560,000
$550,000
$540,000
$530,000
$520,000
$510,000
$500,000
$490,000
$480,000
$470,000
$460,000
$450,000
1900
2000
2100
2200
2300
2400
2500
2600
2700
2800
Square Feet
Century - Modena II - Cadence
Lennar - Preston Crest - Cadence
Taylor Morrison - Verona - LLV
Colina Ridge
Lennar - Riviera Vista - LLV
Richmond - Esperando - Cadence
Woodside - Serenata - Cadence


Colina Estates Competitor QMI Chart
Price
$820,000
$800,000
$780,000
$760,000
$740,000
$720,000
$700,000
$680,000
$660,000
$640,000
$620,000
$600,000
$580,000
$560,000
$540,000
$520,000
$500,000
$480,000
$460,000
$440,000
$420,000
$400,000
1600
1800
2000
2200
2400
2600
2800
3000
3200
3400
3600
Square Feet
Century - The Bluffs II - LLV
Century - The Bluffs I - LLV
Taylor Morrison - Marbella - LLV
Colina Estates
Taylor Morisson - Amara - LLV
Richmond - Marble Mesa - LLV
Lennar - Preston Enclave - Cadence
Woodside - Adair - Cadence

Resale

The Division analyzed resale closings from the area surrounding COL with similar lot sizes to eliminate most higher-density zoning and large estate lots. The projected closing prices at COL are lower than comparable resales in the area. The Division believes this is a compelling opportunity to perform well in the area.





Financial Summary – Results below are based on RSV

	132 Colina Point Lots	81 Colina Ridge Lots	79 Colina Estates Lots	Combined Financials
Average Absorption	5.7	3.9	2.9	4.1
Average Sales Price	$456,490	$559,222	$648,109	$536,830
Lot Cost	$111,435	$206,506	$245,266	$174,015
Net Contribution $	$118,843	$88,668	$107,195	$107,321
Net Contribution %	26.0%	15.9%	16.5%	20.0%
MIRR %	27.6%	16.8%	15.9%	20.1%
IRR %	41.2%	18.0%	16.3%	24.2%
ROCE %	53.9%	20.8%	18.7%	29.0%
Payback	0.9	0.3	0.3	0.5
Rule of 54	149.4	61.2	50.3	83.4
Maximum Capital	$14,754,393	$16,994,218	$19,119,058	$50,867,669
Average Capital	$8,537,245	$10,123,123	$11,504,718	$27,866,519

- Product – The proforma includes three communities for three core product lines, townhome, 30' SFD, and 40' SFD.
- Pace – Assumed a sales pace of 5.7 for the TH product, 3.9 for the 30', and 2.9 per month for the 40' product, which is comparable to the absorption rate of the Division's currently operating communities in the area and competitors in the CMA.
- Base Prices – Conservatively estimated and supported by the CMA adjusted pricing charts and QMI chart.
- Lot Premiums – $5k for the TH product, $10k for the 30', and $10k for the 40' product, which is comparable to the competitors in the CMA and Divisional experience.
- Options – Assumed 5% of base price for the TH, 5.5% for the 30', and 6% for the 40' product, which is consistent with Division experience.
- Discounts – Assumed $15k for the TH, $17.5k for the 30', and $20k for the 40' product's closing cost discount.
- Lot Cost – Calculated on the land acquisition cost and detailed land development budget based on Division and engineer approved plans, current unit costs, and run out estimates with a 10% contingency on hard costs.
- Direct Cost – The current DJOB at Jasper Point was used for the TH, Sage Point for the 30', and Sage Reserve for the 40' product while adjusting for site specific changes, feature changes, and known future cost changes.
- Internal Commissions – Assumed 1.25% which is the current Division plan.

- External Commissions – Assumed 3.0% paid on 65% of transactions. The Division pays on either base sales price or total sales price depending on the MLS status of the home; however, as the proforma calculates on the total sales price, the proforma input is adjusted to show a blended 2.8% rate.

Significant Risks

- Market – There is a risk that market conditions are worse when COL opens for sale. The Division believes the market risk is mitigated by having durable USPs and offering solar standard that the competition does not.
- Balance Sheet – This is a capital intensive project with peak capital at $49M and average cap of $28M. While the Division intends to land bank, there is a risk a land banker does not accept this project.
- Land Development and Grading – There is a significant amount of topography that will require mass grading and trenching of hard rock. The Division has received multiple bids to ensure the development budget is not underestimated.
- Closing Date – The date of closing is dependent on the successful reduction of the existing 1,400' utility easement. The Division estimates this to be complete in early December; however, there is a risk this could take longer. Pulte recently received a release from this easement for the nearby Three Kids Mine Development and the mutual attorney shared this took a few months.

Pre-Closing Budget

The Division will spend less than $50K before LAR approval.